

MODI (THIRD FROM LEFT) WITH INDIAN INDUSTRIALISTS AND FOREIGN DELEGATES AT THE SUMMIT



Modi's Meltdown CURE

Record investment by top business houses shows that the Modi formula still works in a downturn

| By Uday Mahurkar |

In October 2008, a prominent economist called Gujarat Chief Minister Narendra Modi to warn him that global recession was only going to peak and that he should keep his incoming fourth biannual Vibrant Gujarat Summit low key. The economist was taken aback by Modi's response: "I am not allowing the phenomenon of global recession to disturb me at all. In fact, I am going ahead with greater enthusiasm this year. In adversity lies opportunity." It was a bold decision but even Modi could not have foreseen the results of the two-day Vibrant Gujarat event

held in Ahmedabad last week. In just 48 hours, the summit reinforced his image as India's new development icon as leading corporate honchos, from Ratan Tata, Mukesh Ambani, Shashi Ruia, Anil Ambani, Sunil Mittal and Kumar Mangalam Birla joined foreign dignitaries and businessmen from 40 countries in pledging projects worth Rs 12 lakh crore or \$240 billion.

Even Modi had not anticipated such a response. That the Government of Japan had co-partnered the event and sent a 70-member team of industrialists and officials converted it into an international event. As

many as 600 delegates included representatives of 70 foreign companies from 40 countries and more than a dozen ministers from abroad, including the prime minister of Kenya, Singapore's foreign minister, the Italian agriculture minister and the Sri Lanka tourism minister, were among the 20,000 delegates

The proposals which cut across diverse fields—from energy, non-conventional energy, ports, engineering and urban development to chemicals, agriculture, minerals and tourism—were in keeping with Modi's vision of balanced growth in